

Tencent Holdings (0700.HK)

1Q26 review: Stepping up AI investments for the AI agentic era; Buy

0700.HK

12m Price Target: **HK\$700.00**Price: **HK\$462.60**Upside: **51.3%**

We view Tencent's 1Q26 results as broadly in-line (see our [First Take](#)), with a combination of AI-driven revenue acceleration across marketing services and cloud, yet a pause in margin expansion (1Q26 marked the first flattish OPM yoy change since 1Q23) amid step-up of forward AI opex and capex investment (with substantial capex yoy increase in 2H26 from more domestic ASICs). Specifically: **(+)** AI-driven marketing services revenue growth re-accelerated to 20% yoy (vs. 17% in 4Q25), with AIM+ powering c.30% of total ad spending, alongside **(+/-)** record-high evergreen games gross receipts (HoK, Peacekeeper Elite at record gross receipts) driving deferred revenue (current portion) to Rmb141bn (+28% qoq, largest sequential growth since 1Q20). Such gross receipt growth should imply sequential improvement in 2H26 domestic games revenue recognition despite headline games revenue miss in 1Q (+8% yoy) due to CNY timing, yet **(-)** a clear step-up in AI investment phase, with new AI products (Hy, Yuanbao, CodeBuddy, WorkBuddy, QClaw) dragging adj. operating profit growth by 8ppts (reported +9% yoy vs. +17% ex-AI investments), **(+)** 1Q capex of Rmb32bn (+63% qoq, vs. Alibaba's Rmb27bn) skewed primarily to AI infra (operating capex +84% qoq while non-operating capex -72% qoq) with management expectations of substantial increase in capex for FY26E, and **(-)** lowered share buybacks that moderated to c.13m shares (vs. c.23m in 1Q25).

Despite Tencent's near-term profit growth pressure from AI investment ramp-up, we note early signs of progress of Tencent's AI strategy, including commitment of substantial yoy increase in AI capex (underpinning our lifted FY26-27E capex forecasts to Rmb151bn/165bn capex vs. Rmb100bn/110bn prior), Hy3 preview's leading rankings in third-party API channels (e.g. OpenRouter) by token usage and early agent retention metrics. We believe its valuation multiple repair path from here (having de-rated from 18X in the beginning of year to 13X) will hinge on the progression of Tencent's AI narrative (from a late-comer in

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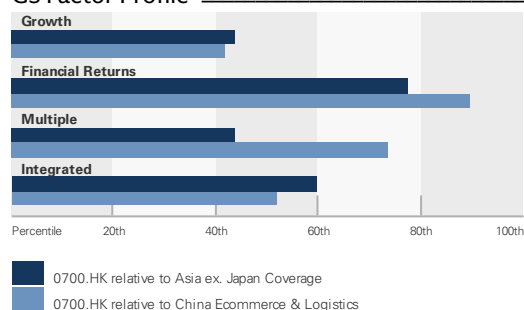
Key Data

Market cap: HK\$4.5tr / \$572.9bn
Enterprise value: HK\$4.6tr / \$585.2bn
3m ADTV: HK\$13.6bn / \$1.7bn
China
China Ecommerce & Logistics
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	751,766.0	827,429.1	900,561.0	979,601.3
Revenue (Rmb mn) Old	751,766.0	827,433.3	898,911.7	969,708.9
EBITDA (Rmb mn)	350,662.0	366,552.1	425,804.7	484,764.2
EPS (Rmb) New	28.09	30.23	33.13	36.56
EPS (Rmb) Old	28.09	30.37	33.79	37.31
P/E (X)	17.7	13.3	12.1	11.0
P/B (X)	4.0	2.8	2.4	2.1
Dividend yield (%)	1.0	1.3	1.4	1.6
CROCI (%)	31.5	29.8	29.9	27.5
	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	7.36	7.43	8.23	7.35

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

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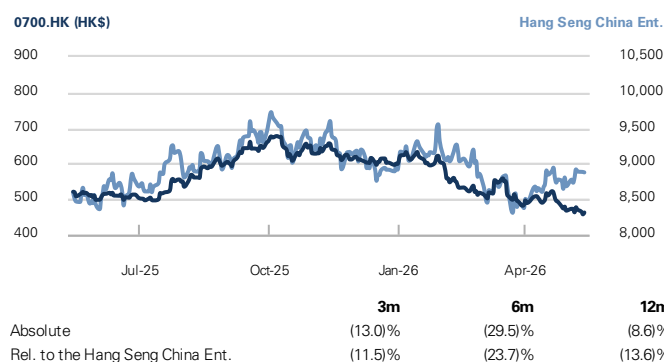
Rating since Apr 2, 2012

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.7	13.3	12.1	11.0
P/B (X)	4.0	2.8	2.4	2.1
FCF yield (%)	4.7	5.0	6.0	6.5
EV/EBITDAR (X)	14.8	11.1	9.4	8.1
EV/EBITDA (excl. leases) (X)	14.8	11.1	9.4	8.1
CROCI (%)	31.5	29.8	29.9	27.5
ROE (%)	24.4	22.3	21.0	20.1
Net debt/equity (%)	0.2	(0.2)	(1.9)	(3.0)
Net debt/equity (excl. leases) (%)	0.2	(0.2)	(1.9)	(3.0)
Interest cover (X)	—	—	—	—
Days inventory outst, sales	0.0	0.0	0.0	0.0
Receivable days	23.8	23.5	24.4	25.0
Days payable outstanding	233.1	229.2	224.4	217.7
DuPont ROE (%)	20.9	19.5	18.6	17.9
Turnover (X)	0.4	0.4	0.4	0.4
Leverage (X)	1.6	1.6	1.5	1.5
Gross cash invested (ex cash) (Rmb)	973,184.0	1,132,262.7	1,319,017.9	1,537,949.5
Average capital employed (Rmb)	1,186,847.0	1,361,275.3	1,545,269.3	1,740,882.4
BVPS (Rmb)	124.85	145.80	168.99	194.76

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	13.9	10.1	8.8	8.8
EBITDA growth	20.7	4.5	16.2	13.8
EPS growth	18.6	7.6	9.6	10.4
DPS growth	13.0	7.6	9.6	10.4
EBIT margin	37.9	36.1	36.6	37.2
EBITDA margin	46.6	44.3	47.3	49.5
Net income margin	34.5	33.7	33.9	34.3

Price Performance

Source: FactSet. Price as of 13 May 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	751,766.0	827,429.1	900,561.0	979,601.3
Cost of goods sold	(329,173.0)	(357,473.6)	(385,465.3)	(416,468.9)
SG&A	(145,995.0)	(179,923.0)	(194,849.3)	(208,135.5)
R&D	(85,747.0)	(111,702.9)	(121,575.7)	(130,923.7)
Other operating inc./(exp.)	6,991.0	1,886.9	1,981.2	2,080.3
EBITDA	350,662.0	366,552.1	425,804.7	484,764.2
Depreciation & amortization	(66,028.0)	(67,557.4)	(96,262.9)	(120,122.2)
EBIT	284,634.0	298,994.7	329,541.8	364,642.0
Net interest inc./(exp.)	16,909.0	17,685.5	20,157.9	21,987.2
Income/(loss) from associates	23,740.0	23,740.0	25,740.0	26,740.0
Pre-tax profit	277,249.0	299,607.0	331,994.9	369,236.0
Provision for taxes	(47,448.0)	(55,173.4)	(61,863.5)	(68,499.2)
Minority interest	(4,959.0)	(5,454.9)	(6,000.4)	(6,600.4)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	259,626.0	278,959.4	305,035.9	335,913.2
Post-tax exceptionals	34,784.0	39,980.7	40,904.9	41,776.8
Net inc. (post-exceptionals)	224,842.0	238,978.7	264,131.0	294,136.4
EPS (basic, pre-exception) (Rmb)	28.58	30.76	33.71	37.20
EPS (diluted, pre-exception) (Rmb)	28.09	30.23	33.13	36.56
EPS (basic, post-exception) (Rmb)	24.75	26.35	29.19	32.57
EPS (diluted, post-exception) (Rmb)	24.32	25.90	28.68	32.01
DPS (Rmb)	4.92	5.30	5.81	6.41
Div. payout ratio (%)	17.2	17.2	17.2	17.2

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	141,041.0	147,373.1	175,014.1	200,471.4
Accounts receivable	49,930.0	56,718.4	63,453.1	70,914.7
Inventory	1.0	1.0	1.0	1.0
Other current assets	404,488.0	415,846.0	426,877.1	438,844.6
Total current assets	595,460.0	619,938.4	665,345.3	710,231.7
Net PP&E	159,575.0	269,442.3	375,197.4	470,816.5
Net intangibles	228,338.0	230,202.0	224,217.9	216,817.9
Total investments	342,409.0	367,166.0	391,923.0	443,420.0
Other long-term assets	713,204.0	773,310.7	839,116.7	911,188.9
Total assets	2,038,986.0	2,260,059.5	2,495,800.3	2,752,475.0
Accounts payable	217,623.0	231,251.8	242,685.3	254,189.3
Short-term debt	42,618.0	42,618.0	42,618.0	42,618.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	152,510.0	168,763.9	182,300.9	193,917.5
Total current liabilities	412,751.0	442,633.8	467,604.2	490,724.8
Long-term debt	126,204.0	126,204.0	126,204.0	126,204.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	258,966.0	258,966.0	258,966.0	258,966.0
Total long-term liabilities	385,170.0	385,170.0	385,170.0	385,170.0
Total liabilities	797,921.0	827,803.8	852,774.2	875,894.8
Preferred shares	—	—	—	—
Total common equity	1,154,152.0	1,345,342.7	1,556,113.1	1,789,667.2
Minority interest	86,913.0	86,913.0	86,913.0	86,913.0
Total liabilities & equity	2,038,986.0	2,260,059.5	2,495,800.3	2,752,475.0
Net debt, adjusted	27,781.0	21,448.9	(6,192.1)	(31,649.4)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	224,842.0	238,978.7	264,131.0	294,136.4
D&A add-back	66,028.0	67,557.4	96,262.9	120,122.2
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	16,484.0	9,143.0	5,356.2	2,196.4
Other operating cash flow	220,540.0	261,666.7	287,513.7	291,932.3
Cash flow from operations	303,052.0	338,367.1	389,132.8	414,250.9
Capital expenditures	(87,482.0)	(150,592.1)	(164,802.7)	(174,369.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(118,250.0)	(100,065.8)	(108,240.0)	(117,182.9)
Cash flow from investing	(205,732.0)	(250,657.9)	(273,042.7)	(291,551.9)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(37,535.0)	(44,719.5)	(48,048.1)	(52,537.6)
Inc/(dec) in debt	113,557.0	—	—	—
Other financing cash flows	(164,820.0)	(36,656.0)	(40,401.0)	(44,704.2)
Cash flow from financing	(88,798.0)	(81,375.5)	(88,449.1)	(97,241.8)
Total cash flow	8,522.0	6,333.7	27,641.1	25,457.2
Free cash flow	215,570.0	187,775.0	224,330.1	239,881.8

Source: Company data, Goldman Sachs Research estimates.

foundation model, to recent new Hy model launches, capex uplift and potential launch of Weixin AI agent, GSe in 2H26E), with renewed commitment to Tencent Cloud as China's Top 3 hyperscaler (and how Tencent secures sufficient domestic AI equipment supply over the coming years). Meanwhile, we remain watchful for the evolving landscape vs. potential OS-level AI agents in the consumer agentic era (and how Weixin could differentiate via the mini-program ecosystem) as key focuses over the next 3-6 months.

We fine-tune our 2026-27E revenue estimates by less than 1%/net profit by +0.4~-0.3%, on the back of a step-up in AI investments that will likely offset incremental profit growth from existing businesses, while lowering our EPS by -0.5%~-2% amid lowered share repurchase assumption amid FCF allocation towards higher capex, with our SOTP-based 12-month target price at HK\$700 (unchanged). Maintain Buy given Tencent's unique Weixin ecosystem and global gaming assets, with multiple monetization levers, that will enable the company to deliver compounding earnings through macro cycles. **Key risks:** More intense industry competition in performance-based advertising, unexpected delays in game launches/Banhao approvals, moderated growth in FinTech and Cloud businesses, slower-than-expected AI development progress, reinvestment risk.

We lay out key investor focuses and our takeaways post the results call below:

1) Key pillars of Tencent's AI Strategy, with step-up of capex in 2H26E: We revise up our FY26-27E capex to Rmb151bn/165bn capex (vs. Rmb100bn/110bn prior), on the back of anticipated increase in supply of domestic ASICs in 2H26, powering Tencent's AI strategies including: i) Revamped system for AI model building, with the foundation model team completely rebuilt over the past 6 months with LLM-native talent, and re-engineered processes spanning infrastructure, data, training and evaluation (with eval refocused from gamed benchmarks to real-world use cases); ii) Hy3 preview's leading position, recently ranked top among reasoning models in China and topping OpenRouter's token usage chart at 7.7tn (part helped by free promotions), with deployment across 131 internal products; iii) Next-step scaling of its larger parameter models, leveraging Hy3's infra and learning with bigger datasets and stronger RL to enhance agentic and coding capabilities; iv) Agentic AI commercialisation via CodeBuddy, Claws and WorkBuddy, with WorkBuddy already #1 by DAU in China and 60%+/80%+ retention among active/paying users.

2) Room for sustained ad growth given 1Q's 20% growth supported by AI closed-loop targeting: We lift marketing services revenue growth to 18%/18% for 2Q26E/FY26E (vs. 15%/14% prior), driven by i) AI-driven adtech upgrade, with the automated campaign management solution AIM+ powering c. 30% of total marketing services spending from advertisers; ii) scaling monetization from Video Accounts, where total time spent grew over 20% yoy and ad impressions grew rapidly alongside increased rewarded ad inventory. Management lifted adload for V.A. in March 2026 to mid-single digit, yet still substantially below peers' low-teens/high-teens levels; iii) Mini Programs ecosystem, that continues to attract spending from mini game and mini drama studios with new instant-play ad formats that enable native gameplay. We view the healthy performance as a testament to Tencent's closed-loop capabilities, providing a long term marketing services growth runway.

3) Visibility for games revenue re-acceleration (supported by deferred revenue

build-up and evergreen franchises): We estimate 11%/11% games revenue growth for 2Q26E/FY26E (unchanged, but more back-end loaded), with sequential acceleration over 2Q-4Q26E on the back of deferred revenue build-up to Rmb141bn (+28% qoq), which offsets the softer-than-expected 1Q26 domestic games revenue of 6% yoy to Rmb45.4bn (due to the later timing of the 2026 Spring Festival), to be supported by i) resilient evergreen titles, with HoK achieving lifetime high gross receipts and Peacekeeper Elite hitting a record 90mn peak DAU; ii) continued success of new titles, as Delta Force achieved lifetime high average DAU and Roco Kingdom: World sustained over 13mn average DAU in its first month; iii) strong gross receipts growth of teens percentage rate yoy; and iv) Healthy momentum in international games (fueled by Supercell titles and PC franchise strength).

4) Acceleration in Fintech and Business Services revenue (driven by AI-related cloud demand and eCommerce technology fees and commercial payment volume): We estimate 9%/10% FBS revenue growth for 2Q26E/FY26E (vs. 8%/9% prior). Business services revenue grew 20% yoy in 1Q, with the acceleration that was driven by i) AI-related cloud demand, contributing to increased revenue across GPU, CPU, and storage as customers integrate Tencent Cloud full-stack AI agent solutions; ii) international cloud expansion, which grew over 40% yoy as the company expanded its global footprint to 65 Availability Zones; and iii) Mini Shops eCommerce transactions, where brand merchants' GMV more than tripled yoy in 1Q26. We expect cloud revenue to further accelerate in 2Q-2H26E, on the back of AI capex and Hy model capabilities.

5) Margin trajectory amidst an AI new products-driven investment phase (weighing on near-term operating profit but building agentic AI capabilities): We estimate 9%/8% adjusted operating profit growth for 2Q26E/FY26E (unchanged). We view the company's disclosure of non-IFRS operating margin excluding new AI products as a framing shift where (+) ex-AI operating margin reached a record 43.0% in 1Q26 (+3.1ppt yoy), driven by continued high quality revenue mix and cost discipline, with gross margin at 56.6% (+0.8ppt yoy) on VAS mix improvement (62.6%, +3ppt yoy) and FBS scale benefits (52.1%, +2ppt yoy), yet (-) margins will likely come under pressure as AI investments step up and with substantial yoy increase in capex into 2H26, with reported non-IFRS OPM flat yoy at 38.5% (first flat yoy OPM since 1Q23), and marketing services gross margin compressing to 55.0% (-4.7ppt qoq) on AI-related D&A (+57% yoy). While we continue to view Tencent as the most capex disciplined within China internet (FCF +20% yoy despite capex +63% qoq), we expect operating profit growth to further converge/trend below revenue growth in 2H26E.

Key risks: Below-expected progresses in AI initiatives; Higher-than-expected AI related investment; More intense industry competition in performance-based advertising, unexpected delays in game launches/Banhao approvals, moderated growth in FinTech and Cloud businesses, slower-than-expected AI development progress, reinvestment risk.

The author would like to thank Iris Xiao for her contribution to this report.

Financials & Valuation

Exhibit 1: Tencent: Summary of changes

Rmb mn	New 2026E	chg %	New 2027E	chg %	New 2028E	chg %
Total revenues	827,429	0.0%	900,561	0.2%	979,601	1.0%
Net profit, non-IFRS	278,959	0.4%	305,036	-0.3%	335,913	0.4%
Diluted EPS, adj (Rmb)	30.23	-0.5%	33.13	-2.0%	36.56	-2.0%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Tencent financial summary

Income Statement (RMB mn)	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Value added services	298,375	319,168	369,281	396,253	425,146	456,563	92,133	91,368	95,860	89,920	96,110	97,424	103,769	98,951
Domestic gaming	126,600	139,600	164,300	182,178	197,267	211,548	42,900	40,400	42,800	38,200	45,400	44,443	48,406	43,930
International gaming	53,100	58,000	77,300	86,224	95,951	104,853	16,600	18,800	20,800	21,100	18,800	21,045	22,720	23,659
Social network	118,675	121,568	127,681	127,851	131,927	140,161	32,633	32,168	32,260	30,620	31,910	31,936	32,643	31,362
Marketing services	101,482	121,374	144,973	170,409	190,354	211,863	31,853	35,762	36,242	41,116	38,171	42,042	42,424	47,771
Others incl. FinTech & Business Ser	209,158	219,715	237,512	260,767	285,062	311,176	56,036	57,374	60,767	63,335	62,177	62,473	66,557	69,560
Fintech	166,775	169,343	179,365	188,333	197,431	206,650	44,811	44,332	44,917	45,305	47,787	46,702	46,705	47,139
Business service/Cloud	36,988	42,613	50,070	64,042	78,929	95,518	10,096	11,204	13,257	15,513	12,098	13,933	17,259	20,752
Total revenues	609,015	660,257	751,766	827,429	900,561	979,601	180,022	184,504	192,869	194,371	196,458	201,939	212,750	216,282
Cost of revenues	(315,906)	(311,011)	(329,173)	(357,474)	(385,465)	(416,409)	(79,529)	(79,491)	(84,071)	(86,082)	(85,193)	(86,274)	(91,858)	(94,148)
Gross profit	293,109	349,246	422,593	469,955	515,096	563,132	100,493	105,013	108,798	108,289	111,265	115,665	120,891	122,134
Interest income	13,808	16,004	16,909	17,686	20,158	21,987	3,748	4,121	4,256	4,784	4,025	5,063	5,063	3,534
Other gains	4,701	8,002	(3,177)	6,619	7,204	7,837	(1,397)	(3,578)	483	1,315	1,253	2,019	2,127	1,220
Sales and marketing	(34,211)	(36,388)	(41,727)	(48,818)	(53,133)	(56,352)	(7,866)	(9,410)	(11,468)	(12,983)	(11,343)	(11,813)	(12,446)	(13,216)
General and administrative	(103,525)	(112,761)	(136,127)	(159,237)	(170,804)	(181,843)	(33,664)	(31,921)	(34,259)	(36,283)	(33,800)	(39,907)	(42,092)	(43,438)
Operating profit, IFRS	160,074	208,099	241,562	268,519	298,363	332,775	57,566	60,104	63,554	60,338	67,375	65,963	68,481	66,700
Operating profit, non-IFRS	191,886	237,811	280,656	304,204	335,336	371,069	69,320	69,248	72,570	69,518	75,627	75,525	78,454	74,598
Taxation	(43,276)	(45,018)	(47,448)	(55,173)	(61,863)	(68,499)	(13,717)	(11,351)	(9,785)	(12,595)	(14,577)	(12,904)	(11,974)	(15,719)
Net profit, GAAP	115,216	194,073	224,842	238,979	264,131	294,136	47,821	55,628	63,133	58,260	58,093	57,412	64,361	59,113
Net profit, Non-GAAP	157,688	222,703	259,626	278,959	305,036	335,913	61,329	63,052	70,551	64,694	67,905	68,160	75,519	67,376
Diluted EPS, Non-GAAP (Rmb)	16.42	23.67	28.09	30.23	33.13	36.56	6.58	6.79	7.58	6.97	7.36	7.43	8.23	7.35
Revenue breakdown	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Marketing services	101,482	121,374	144,973	170,409	190,354	211,863	31,853	35,762	36,242	41,116	38,171	42,042	42,424	47,771
Media	11,083	11,393	12,750	13,132	13,526	13,932	2,927	4,046	2,927	2,850	3,121	4,167	2,985	2,859
Social and others	90,399	109,981	132,223	157,276	176,827	197,931	28,926	31,716	33,315	38,266	35,050	37,875	39,439	44,913
Online Gaming	179,700	197,600	241,600	268,402	293,219	316,401	59,500	59,200	63,600	59,300	64,200	65,488	71,126	67,588
Fintech	166,775	169,343	179,365	188,333	197,431	206,650	44,811	44,332	44,917	45,305	47,787	46,702	46,705	47,139
Business services	36,988	42,613	50,070	64,042	78,929	95,518	10,096	11,204	13,257	15,513	12,098	13,933	17,259	20,752
Cloud	35,498	37,876	40,875	49,050	57,879	67,255	8,296	9,164	10,737	12,678	9,458	10,813	13,099	15,680
Other Business service (incl. VA commissi)	1,490	4,737	9,195	14,993	21,050	28,263	1,800	2,040	2,520	2,835	2,640	3,120	4,160	5,073
YoY	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Total revenues	10%	8%	14%	10%	9%	9%	13%	15%	15%	13%	9%	9%	10%	11%
Marketing services	23%	20%	19%	18%	12%	11%	20%	20%	21%	17%	20%	18%	17%	16%
Online Gaming	5%	10%	22%	11%	9%	8%	24%	22%	23%	21%	8%	11%	12%	14%
Domestic gaming	2%	10%	18%	11%	8%	7%	24%	17%	15%	15%	6%	10%	13%	15%
International gaming	13%	9%	33%	12%	11%	9%	22%	35%	43%	32%	13%	12%	9%	12%
Social network	2%	2%	5%	0%	3%	6%	7%	6%	4%	3%	-2%	-1%	1%	2%
Fintech	16%	2%	6%	5%	5%	5%	3%	9%	8%	4%	7%	5%	4%	4%
Business service	11%	15%	17%	28%	23%	21%	14%	16%	17%	22%	20%	24%	30%	34%
Cloud	6%	7%	8%	20%	16%	16%	4%	6%	7%	13%	14%	18%	22%	24%
Gross profit	23%	19%	21%	11%	10%	9%	20%	22%	22%	19%	11%	10%	11%	13%
Operating profit, non-IFRS	34%	24%	18%	8%	10%	11%	18%	18%	18%	17%	9%	9%	8%	7%
Net profit, Non-GAAP	36%	41%	17%	7%	9%	10%	22%	10%	18%	17%	11%	8%	7%	4%
Diluted EPS, Non-GAAP (Rmb)	37%	44%	19%	8%	10%	10%	25%	13%	19%	18%	12%	9%	9%	5%
Margins	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
VAS gross margin	54.3%	56.9%	60.2%	61.8%	62.5%	63.0%	59.6%	60.4%	61.2%	59.5%	62.6%	61.7%	62.9%	60.2%
Marketing services gross margin	50.6%	55.4%	57.5%	56.8%	57.3%	58.1%	55.5%	57.6%	56.7%	59.7%	55.0%	57.0%	56.2%	58.8%
FBS gross margin	39.6%	47.0%	50.8%	51.7%	51.8%	51.3%	50.3%	52.1%	50.2%	50.7%	52.1%	52.9%	50.7%	51.4%
Gross margin	48.1%	52.9%	56.2%	56.8%	57.2%	57.5%	55.8%	56.9%	56.4%	55.7%	56.6%	57.3%	56.8%	56.5%
Operating margin, IFRS	26.3%	31.5%	32.1%	32.5%	33.1%	34.0%	32.0%	32.6%	33.0%	31.0%	34.3%	32.7%	32.2%	30.8%
Operating margin, non-IFRS	31.5%	36.0%	37.3%	36.8%	37.2%	37.9%	38.5%	37.5%	37.6%	35.8%	38.5%	37.4%	36.9%	34.5%
Net margin, GAAP	18.9%	29.4%	29.9%	28.9%	29.3%	30.0%	26.6%	30.2%	32.7%	30.0%	29.6%	28.4%	30.3%	27.3%
Net margin, non-GAAP	25.9%	33.7%	34.5%	33.7%	33.9%	34.3%	34.1%	34.2%	36.6%	33.3%	34.6%	33.8%	35.5%	31.2%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Our 12-m SOTP-based TP for Tencent is HK\$700 per share

USD to RMB		7.15	US\$ to HK	7.80		700				
SUM of PARTS	% owned	Valuation US\$mn	Valuation Rmb mn	To Tencent (US\$ mn)	To Tencent (Rmb mn)	Rmb/sh	HK\$/sh	% Val	COMMENT	
CORE BUSINESS										
Entertainment	96.6%	383,002	2,738,462	369,930	2,645,002	287	313	45%		
Gaming	100.0%	351,917	2,516,208	351,917	2,516,208	273	297	42%	@ 22x PE, 26E	
Domestic	100%	241,842	1,729,167	241,842	1,729,167	187	204	29%	@ 20x PE, 26E	
International	100%	110,076	787,040	110,076	787,040	85	93	13%	@ 24x PE, 26E	
Tencent Video	100%	3,017	21,573	3,017	21,573	2.3	2.6	0%	@ DCF (14% WACC, 5% g)	
Tencent Music	52%	23,343	166,899	12,239	87,505	9.5	10.3	1%	GS target valuation	
China Literature	57%	3,952	28,255	2,247	16,068	1.7	1.9	0%	Market cap	
Huya	66%	773	5,527	510	3,648	0.4	0.4	0%	Market cap	
Advertising (ex video)	100%	227,358	1,625,611	227,358	1,625,611	176	192	27%	@ 25x PE, 26E	
FinTech (FIT) (x-WeBank)	100%	97,984	700,586	97,984	700,586	76	83	12%	@ 16x PE, 26E	
Cloud/Business service	100%	58,131	415,635	58,131	415,635	45	49	7%	@ 6x Rev, 26E	
Others	100%	31,334	224,038	31,334	224,038	24.3	26.5	4%	@ 0.5x rev, 26E	
CORE		797,809	5,704,333	784,737	5,610,873	608.1	663.3	95%		
Investment, total			17,936,985	122,764	877,763	95	104	15%		
Net CASH		6,733		6,733	48,138	5.2	5.7	1%	2026 net cash	
NAV (pre holdco discount)		914,234		914,234	6,536,773	708	773			
Less holdco discount	-10%	(86,852)		(86,852)	(620,993)	(67)	(73)	-10%		
NAV		827,382		827,382	5,915,780	641	700			

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Tencent Holdings

Valuation methodology: We are Buy rated on Tencent (0700.HK), with a 12-m SOTP-based TP of **HK\$700**.

Key risks: More intense industry competition in performance-based advertising, unexpected delays in game launches/Banhao approvals, moderated growth in FinTech and Cloud businesses, slower-than-expected AI development progress, reinvestment risk.

Disclosure Appendix

Reg AC

We, Ronald Keung, CFA, Steve Qiu and Damian Xie, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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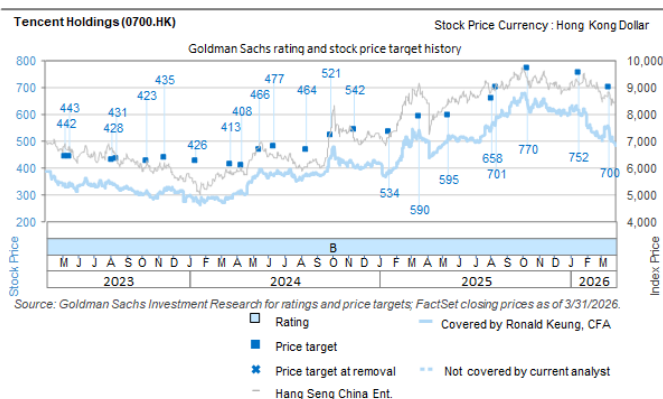
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Target price history table(s)

Tencent Holdings (0700.HK)

Date of report Target price (HK\$) Closing price (HK\$)

18-Mar-26	700.00	550.50
18-Jan-26	752.00	617.50
12-Oct-25	770.00	651.50
13-Aug-25	701.00	586.00
05-Aug-25	658.00	559.00
14-May-25	595.00	521.00
19-Mar-25	590.00	540.00
20-Jan-25	534.00	389.80
13-Nov-24	542.00	403.80
29-Sep-24	521.00	437.80
14-Aug-24	464.00	373.80
12-Jun-24	477.00	370.80
15-May-24	466.00	381.80
11-Apr-24	408.00	315.00
20-Mar-24	413.00	288.80
15-Jan-24	426.00	289.40
15-Nov-23	435.00	322.60
11-Oct-23	423.00	311.00
16-Aug-23	431.00	328.80
07-Aug-23	428.00	341.20
17-May-23	443.00	342.80

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